

regarded site is Term4Sale (www.term4sale.com). Other good sites include www.selectquote.com, www.accuterm.com, and www.insure.com.

WHY THE PITCHES DON'T MAKE SENSE

Perhaps you've heard the saying that life insurance isn't bought, it's sold. That sentiment comes from the fact that life insurance agents can be very aggressive and extremely persuasive. Who can blame them? The commission an agent gets from selling a cash value policy is substantial. If you've ever met with a life insurance salesperson, you've probably heard one of the following pitches.

The pitch: "Maybe you don't need life insurance now, but you should buy today when you're young and healthy to protect your insurability in the future."

The reality: The chances of your developing a health problem that renders you unable to qualify for life insurance before you reach age 35 are very slim. Since you have limited funds now, why spend your money on insurance you don't need?

The pitch: "Even though you're single, you need life insurance to pay your funeral costs and your debts."

The reality: Your parents, other relatives, or friends will probably be willing to pay for your funeral in the unlikely event you die with no assets. As for your debts, unless you cosigned a loan with parents, partners, or friends, no one else will be responsible for paying them. If you have any assets, the creditors will sell them to pay your debts. Otherwise, the creditors will simply take the loss.

The pitch: "If you have a child, you should buy a policy to cover his or her life."

The reality: A child is the last person who needs a life insurance policy. Parents need life insurance. Buying coverage on your child's life is a waste of money despite what late-night infomercials may claim.

The pitch: "Cash value life insurance offers tax-favored growth and is a great forced-savings plan."

The reality: This is true, but you can get the same tax-favored growth by putting money in a 401(k) or IRA, without paying a